

Blue = Apple case study

Purple= Mcdonalds case study

TOPIC ONE: MARKETING

- **Marketing** is a total system of interacting activities designed to plan, price, promote and distribute products to present and potential customers.

Role Of Marketing

Strategic Role of Marketing Goods and Services -

The idea of transcending profit maximisation into reality through the use of a detailed marketing plan.

Marketing approaches -

Production:

- Began in 1820s
- 'If we make it they will buy it'
- Product design based off of demand of mass production rather than customer needs
- E.g.) Henry Ford quick and cheap car production, confident people will buy

Selling:

- Began in 1920s
- Emphasis on selling due to increased competition
- Use of tv, radio and convincing sales representatives
- Still neglecting needs of customers

Marketing:

- Began in 1960s after economic boom post WW2
 - Customer needs and wants were actually considered
 - Customer at the centre of marketing
 - Disposable income for the first time and producers needed to satisfy customers wants
 - CSR- pressures for businesses to be socially responsible e.g.) environmentally sustainable.
 - Customer Orientation- Collecting information from customers and basing marketing on customers wants and interests. Begins with a sale.
 - Relationship Marketing- Priority on customer retention and prolonged satisfaction. Customer loyalty = repeat sales. Loyalty program
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Types of markets -

- ☆ Intermediate market- consists of wholesalers and retailers who purchase finished products and sell them again to make a profit.
- ☆ Consumer market- Are the markets with which we are most familiar. Each time we go shopping at the local supermarket, we are part of the consumer market.
- ☆ Resource market- consists of those individuals or groups that are engaged in all forms of primary production, including mining, agriculture, forestry and fishing.
- ☆ Industrial markets- includes industries and businesses that purchase products to use in the production of other products
- ☆ Mass market- In mass markets the seller mass produces, mass distributes and mass promotes one product to all buyers. The business doesn't target its products to a specific group of buyers
- ☆ Niche market- Aka a concentrated or micro market. E.g.) Magazine types

Independence of marketing -

The state of being dependent upon one another. The marketing concept is a philosophy that states all sections of the business are involved in satisfying a customer's needs and wants while achieving the business goals.

Influences On Marketing Management

Factors Influencing Consumer Choice -

Psychological influences within an individual that affect buying behaviour	Sociocultural forces exerted by other people and groups that affect customer behaviour	Economic They influence a business's capacity to compete and a customer's willingness and ability to spend.	Government puts in place policies that expand or contract the level of economic activity.
✿ Perception ~ Image that a particular product has in the mind of consumers ✿ Motives ~	✿ Social class ~ Influences the type, quality and quantity of products a customer buys. E.g high income buys luxury items.	✿ Boom Cycle~ Period of low unemployment and rising incomes, customers are willing to spend.	✿ Policies~ Governments use a number of economic policy measures to influence the level of economic activity. This directly or

Reasons for a purchase e.g taste, comfort ✿ Attitudes ~ Person's overall feeling or opinion about a product, service or activity. Eg ✿ Personality and self image ~How they want others to perceive them can dictate the purchasing decisions. What brand aligns with my self-image. ✿ Education ~ McDonalds- Displaying signature items on electronic boards close to entrance without price (decision anchoring) (Health Halo) Placing burger next to salad Apple - Introduction of metallic coloured iphones in 2013 allusion of quality	✿ Culture ~ Determines what people wear, what and how they eat, and where and how they live. ✿ Family + Role ~ Market research shows that most women still make buying decisions related to healthcare products, food and laundry supplies. ✿ Peer groups~ Friends experiences at stores, pressure to fit in. McDonalds- Differentiate products so that everyone can buy Apple- Popularity of video games influenced design features	✿ Recession~ Period where unemployment reach high levels and incomes decrease. Customer and business spending reach very low levels. McDonalds- They don't rise prices, they make processes more efficient Apple- Low cost SE in 2016	indirectly influences business activity and customers' spending habits and marketing plans. E.g.) Increase or decrease on taxes such as Cigarettes McDonalds- Use of "Dine and discover" vouchers during COVID Apple- Government regulations in India challenged expansion
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Consumer Laws -

ACCC -

The Australian Consumer Law (ACL)-

Competition and consumer act 2010-

The Act has two major purposes:

1. to protect consumers against undesirable practices, such as misrepresenting the contents of products, their place of production, and misleading and deceptive advertising
2. to regulate certain trade practices that restrict competition. The government also wants to ensure a number of businesses are operating at any one time in the same market to encourage competition.

Breaches:

- Lead to civil or criminal actions by ACCC with penalties upto \$1.1M for companies and \$220,000 for individuals along with potential compensation claims and rep damage
- ACCC can issue on spot fines to manufacturers making false product claims upto \$12,600

McDonalds-

Labelling-

- Australian New Zealand Food Standards Code
- Food act 2003
- Food regulation act 2015

Advertising

- Ethic concerns on marketing towards children (happy meals)

Apple-

In 2015 a class Action was filed against Apple by more than 100 iPhone 4 users in USA who claimed Apple was intentionally rendering their phones unusable via iOS upgrades

In 2016 Structural issues "design anorexia" accused Apple of fraud and consumer law violation

Laws specific marketing practises

Deceptive and misleading advertising

♥ Fine print - Important conditions are written in a small-sized print and are therefore difficult to read.

♥ Tests and surveys - Make unsubstantiated claims e.g '9 out of 10 people' prefer a product when no survey has been conducted

♥ Accuracy in labelling - 'made in Australia' and 'product of Australia' have two distinct meanings.

♥ Special offer - If they imply that a special offer is available for only a limited period, when in fact the offer is continuously available.

♥ Bait and switch advertising - Involves advertising a few products at reduced and, therefore, enticing prices to attract customers. When the advertised products quickly run out, customers are directed to higher priced items.

Price Discrimination

- The setting of different prices for a product in separate markets possibly because:
The markets are geographically separated, for example city and country prices **or** there is product differentiation within the one market, for example different electricity prices for domestic and business users.

Implied Conditions

Consumer guarantees - Australian Consumer Law (ACL)

Warranties

- A warranty is a promise by the business to repair or replace faulty products.
In recent years, government legislation has made it necessary for businesses to state, clearly and simply, the terms and conditions of the warranty. A warranty assures the customer that the business has confidence in the quality of its product and will repair or replace any faulty items

♥ Refunds and Returns Policy

A business is required by law to offer a refund:

- if the products provided are faulty
- do not match the description or a sample
- fail to do the job they were supposed to do.

There is no obligation to offer a refund if the customer has simply changed their mind, has found the same product at a cheaper price in another store, or damage has occurred after the purchase was made.

Ethical influences -

Truth and Accuracy

- ✿ concealed facts - harm consumers trust
- ✿ exaggerated claims (puffery) - "most superior product"
- ✿ vague statements (weasel words) - deliberately ambiguous or misleading

Good taste-

- ✿ advertising is highly subjective; consumer opinion
- ✿ "all publicity is good publicity"

Fair competition-

- ✿ intense competition leads to businesses engaging in unfair practise
- ✿ e.g.) false advertising, incomplete product descriptions, high pressure selling methods

Sugging-

- ✿ selling under the guise of a survey (market research)
- ✿ invades consumers privacy
- ✿ customers becoming less cooperative due to suspicions

McDonalds- Marketing to children (McLibel 1997- exploiting children through advertising), Happy meal, Player of the match vouchers
Apple- Product placement (subtle + deceptive), e-waste, radiation exposure

Processes of Marketing Management

SWOT Analysis-

- A clear picture of the business's current state AND where it is heading is vital for marketing success.
- A Situational Analysis (SWOT) provides a tool for a business to assess the **internal (controllable) and the external (uncontrollable)** aspects of the business.



McDonalds SWOT-

Strengths - global brand - Large market share	Weakness - perception of unhealthiness
Opportunities -New products - Digital marketing	Threats - neg publicity - High comp

Apple SWOT-

Strengths - global brand - Large range of distribution channels - Customer loyalty	Weakness -Over dependence on the iPhone -Rising costs and quality concerns
Opportunities -Development of new products -Expansion of Apple Pay	Threats -High competition - Technical faults (hacking)

Product life cycle

Introduction	Growth	Maturity	Decline
Product brand and reliability are established. • Price is often lower than competitors' prices in order to gain a market foothold. • Promotion directed at early buyers and users occurs, and communications seek to educate potential customers about the merits of the new product. • Distribution enables consumers to gradually form an acceptance of the product.	Brand acceptance and market share are actively pursued by the producers of the product. • Product quality is maintained and improved and support services may be added. • Price per unit of production is maintained as the firm enjoys increased consumer demand and a growing market share. • Promotion now seeks a wider audience. • Distribution channels are increased as the product becomes more popular.	Sales plateau as the market becomes saturated: • Product features and packaging try to differentiate the product from those of competitors. • Price may need to be adjusted downwards to hold off competitors and maintain market share. • Promotion continues to suggest the product is tried and true. • Distribution incentives may need to be offered to encourage preference over rival products.	Sales begin to decline as the business faces several options: • Product maintained with some improvements or rejuvenation. Cut the losses by selling it to another business. • Price is reduced to sell the remaining stock. • Promotion discontinued. • Distribution channels reduced and products offered to a loyal segment of the market only.

McDonalds- Fries

Introduction- 1940s to replace potato chip packets

Growth- As McDonalds rapidly expanded, french fries became a menu favourite

Maturity- McDonalds was campaigned against for the health hazard oil. They then changed the recipe and were met with resistance and even fell on the stock exchange.

Renewal- To stay relevant they created extended line of fries e.g.) loaded fries, twisted fries

Market Research

-Process of systematically collecting, recording and analysing info concerning a specific problem

Steps-

1. Determine info needs
2. Collect primary and secondary data
3. Analyse and interpret it

Primary data - original sources: surveys, observations, experiments

Secondary data- statistics, sales reports, accounting statements, magazines

McDonalds-

Uses primary sources such as surveys, questionnaires and data collected through apps

Apple-

Use of feedback surveys after a purchase,

Establishing marketing objectives

- The marketing objectives should be closely aligned to the overall business goals, but more customer-oriented than the goals for the entire business.

Increased market share - develop an extensive product range, using many different brand names to gain an extra few percentage points of market share.

Increased product mix - Each item in a product line should attempt to satisfy the needs of different target markets. E.g.) Coca Cola

Maximise customer service - High levels of customer service will result in improved customer satisfaction and a positive reaction from customers towards the products they purchase.

Increase global retail sales by 5% in the next quarter by opening stores in India

Making customers feel a personal connection to McDonalds

Identifying Target Markets

Target market- A group of people that have been identified as the most likely potential customers

Geographic	Demographic	Behavioural	Psychographic
** Location ** Region ** Urban/Rural	** Age ** Gender ** Occupation ** Socioeconomic group	** Rate of usage ** Benefits sought ** Loyalty status	** Personality ** Lifestyle ** Attitudes ** Class

McDonalds - Market Segmentation

Apple - Different advertising channels: mass market e.g.) billboards, website, teens e.g.)celebrity

endorsement

Developing Marketing Strategies

- Marketing strategies are actions undertaken to achieve the business's marketing objectives through the marketing mix.

Marketing Mix - Combination of the 4 p's

Price	Product	Promotion	Place	People	Physical Evidence	Processes
⌚ Pricing strategies ⌚ Discounts ⌚ Loss leader	⌚ Features ⌚ Quality ⌚ Warranty	⌚ Advertise ⌚ PR ⌚ Loyalty programs	⌚ Location ⌚ Websites ⌚ Direct sales	⌚ Employee ⌚ Managers ⌚ Customer service	⌚ Packaging ⌚ Experience	⌚ Delivery methods ⌚ Customer focus ⌚ Research development

McDonalds-

Maximise marketing- Food quality, Integrity (behaviour), Value

Commit to the core - a renewed focus on chicken, burgers and coffee

Double down on the 3 D's (Digital, Delivery, Drive Thru)

Price	Product	Promotion	Place	People	Physical Evidence	Processes
Price skimming Comp-based pricing	Focus on design + quality Unique system (ios)	Media coverage of product launches Online marketing	More than 500 stores in 25 countries Online presence	Job titles such as "genius", "specialists" to raise status Focus on HR training	Design of stores reflects innovation Hands on testing of products	Online ordering system Pre order Free IOS upgrades

Implementing, Monitoring, Controlling

Financial forecast -

Cost estimate- How much is the marketing plan expected to cost

Revenue estimate- How much is expected to be generated

Key performance indicators (KPI) -

Sales analysis is used to evaluate a businesses current performance and effectiveness of a marketing strategy

Market share analysis and ratios Compare marketing strategies with competitors

Marketing profitability analysis Breaks down marketing total marketing costs into specific activities e.g.) transport, advertising, administration therefore evaluate effectiveness of the activities

Revising the Marketing Plan - Based on the result of sales, market share, profitability analysis, businesses can now assess marketing plans.

- Modify marketing mix
- New product development
- Product deletion
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Monitoring- Monitor sales data to identify market saturation

Control - Apple may require a new model of iPhone to be launched, new distribution channels

Uses AI to generate large quantity data

Marketing Strategies

Market Segmentation

-To increase sales, market share, profit by better understanding and responding to the desire of the different target customers

Positioning- Perception consumers have about a product and the techniques in which marketers try to create an image or identity compared to competitors

McDonalds-

The informal eating out (IEO) industry contains approximately 10 million outlets and generated global sale of US \$1 trillion in 2020

McDonalds markets happy meals towards young children which raises ethical concerns
They cater to religion by providing halal, kosher foods and introduced the fillet o fish to cater for Catholic consumers who don't eat meat on fridays

Apple-

- Targeted towards high income earners in developed countries
 - Low cost SE model aimed at developing countries
 - Asian demographic prefers larger screen size therefore updated SE model was largely designed to suit this
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Product differentiation

-Process of developing and promoting differences between the businesses products or services and those of its competition

Points-

Labelling - country of origin

Quality

Value of money

Convenience

Environmentally friendly

Customer service

Ethical issues - Dislikes of GMO, animal testing

Branding - *Golden Arches*

Packaging - *Reinforces info that MD wants consumer to know + easy to identify for crew*

Consumers are driven by perception which marketers can manipulate in order to try and create an image better than competition

Pricing Strategies

- Cost based pricing
- Market based pricing
- Competition based pricing

Price skimming

Occurs when a business changes the highest possible price for the product during the introduction stage. Consumers are willing to pay a high price for a product's novelty features. Objective is to recover the costs of research and development *iPhone*

Price penetration

Opposite to price skimming. When a business changes the lowest price possible for a product. Objective is to sell a large number of products during the early stages of the life cycle - discouraging competitors from the market

Loss Leader

A product sold at or below cost price. Psychology behind products once consumers are in the store, they will usually buy other products.

-Loose change menu items, 30 days 30 deals

Price Points

Price points or price lining is selling products only at certain predetermined prices

Mainly used by retailers e.g. clothing stores and boutiques. Makes it easier for the consumer to find the type of product they need

Promotion

- To sell more of its products, a business has to change customers' behaviour through

information and persuasion this is done through promotion

Aims:

- Attract new customers
- Increased brand loyalty
- Encourage existing customers



Sales Promotion

- A business may decide to offer a direct inducement to customers to sell more product
- Used to primarily increase the effectiveness of other promotion activities, entice new and existing customers

Coupons

Premiums - A gift a business offers in return for using the product

Refunds- A part of the purchase price is given back

Samples

Communication process

Noise - Anything that distracts from a clear message being received

To combat this, marketers use **Opinion leaders** which are well trusted individuals

Businesses hope to generate positive **Word of Mouth** to influence buying behaviour

Kendrick Lamar, Billie Eilish, Lady Gaga

BTS, Saweetie, Travis Scott

Distribution Channels

- Profit occurs at every step of the supply chain , if a business can charge a lower price can reduce downstream in reaching consumer they can charge a lower cost



Distribution channels

-routes taken to get products to the customer

e.g.) producer > consumer, producer>wholesaler > retailer > consumer

Agents or brokers could be used

-Introduction of delivery

-In 2022, you could only buy the new iPhone models from Apple and would have to wait 2-3 weeks from other distributors such as Telstra

Channel Choice

- Intensive

Business wishes to saturate the market with its product. Customers can shop at local outlets and be able to purchase the product. Many convenience goods, such as milk and newspapers.

- Selective [Apple McDonalds](#)

Only a moderate proportion of all possible outlets. The customer is prepared to travel and seek out a specific retail outlet that stocks a certain brand. Clothing, furniture and electrical appliances.

- Exclusive

This is the use of only one retail outlet for a product in a large geographic area. This method of distribution is commonly used for exclusive, expensive products.

E-Marketing

-the practice of using a variety web-based marketing platforms

Every business must have a website with a memorable url and top of search engine

- social media advertising (SMA)

Global Marketing

Standardisation Approach

A global marketing strategy that assumes the way the product is used and the needs it satisfies are the same all over the world. Therefore, the marketing mix will be the same in all markets.

[Simplistic pictures of the iPhone on billboards](#)

[Big Mac](#)

Customisation Approach

A global marketing strategy that assumes the way the product is used and the needs it satisfies are different between countries. Adopting this philosophy requires the marketing plan to be customised according to the economic, political and sociocultural characteristics of the target country.

[TV advertisements tailored to different countries](#)

[Flavour modifications](#)

Global Pricing

Customised Pricing: occurs whenever consumers in different countries are charged different prices for the same product.

Market-Customised Pricing: Sets prices according to local market conditions.

Competitive Positioning: how a business will differentiate its products.

In 2022, Apple is the most valuable brand in the world at \$927 B
McDonalds is the 6th

TOPIC TWO: OPERATIONS

- **Operations** refers to the business processes that involve transformation, or more generally, 'production.'
- The role of operations is to design, create, and implement a system of production that continually aims to lower costs, ensure quality, and maximise productivity and profitability.

Role Of Operations

Strategic Role

- Lower costs involved in production, increase sales revenue

Cost Leadership

- aims to have the lowest costs or to be the most price competitive in the market

Apple partners with Foxconn and Pagatron in China to lower costs
Global operations training program

Goods and service differentiation

Goods - Distinguishing products in a way that doesn't involve cost

- ★ Varying the actual product features - IOS, iTunes, Siri
- ★ Varying product quality - Marketed as a 'premium product'
- ★ Varying any augmented features (Add ons) Apple Watch

Service -

- ★ Time
- ★ Expertise
- ★ Qualifications
- ★ Material tech

Cross Branding - Two companies combining with similar target markets e.g.) Coles and Shell

Economies of scale - Cost advantages that can be created because of an increase in scale of business operations e.g.) McDonalds hamburgers

Goods and Services in different industries

Tangible	Intangible
Easy to store Perishable Easy to value	Consumption service Not perishable Subjective value

**Intermediate goods move through operations twice*

Interdependence

Marketing → producing goods based on market needs, marketing based on cost, product design affects transformation

Finance → cost of production, labour costs

Human Resources → staff needed for production, technology changing operations, outsourcing specialists

Influences on Operations

Globalisation - Removal of barriers of trade between nations

- Provides a source of market opportunities
- Business orients their operations toward the global market. Consumers seek global brands, and tend to seek standardised products.
- Can also act as a threat to business as businesses that effectively apply cost leadership principles can undercut the market and dominate

Employees preparing your food are all trained to do the same thing using the same procedures in every country

Outsources manufacturing to companies such as Foxconn (cheaper, however must be cautious of CSR/ reputation)

Technology

- Makes the operations process more efficient by lowering costs of production
- Technology can also alter the structure of an entire industry: creating opportunities for some and threatening others

Long term agreement with deliveroo and door dash

Quality expectations

'totality of features and characteristics of products (goods) and services that bears its ability to satisfy stated or implied needs' - ISO

Value adding - Brand adds value

In 2011, MDS admitted that its coffee was not suited to Australians (strength of blend, consistency) therefore they now guarantee its coffee is barista made 'Premium product'

Goods	Services
• Quality of design • Fitness for purpose • Durability	• Level of customisation • Reliability of service provider • Professionalism

Cost based competition - derived from determining break-even point (the level at which the firm's total revenue is exactly equal to its total costs) and then applying strategies to create cost advantages over competitors

- Recognises that prices cannot keep increasing; therefore, reducing costs is a way to maximise profits when revenues are fixed
- Mass customisation enables cost-based competition even when products are differentiated rather than standardised.

McDonalds makes 7c for every dollar spent by customer

Government Policies - Set by the government which dictates business functions.

- They are ever changing notably due to the government in power or social expectations.
- **Policies - Taxation rates, work health and safety (2011) and safety policies, environmental policies**

HACCP approach

Legal Regulation

- Must be followed at the risk of penalty, hence the term compliance
- Compliance costs - The expenses associated with meeting the requirements of legal regulations
- Operations laws- **The transformation or conversion involves the use of any or all of labour, technology, finance, machinery and energy.**
-

Foxconn breached Chinese labour and environmental laws - dumping metals, forced overtime to make minimum wage, suicides, underage workers

Environmental Sustainability

Business operations should be shaped around practices that consume resources today without compromising access to those resources for future generations.

- Renewable resources
- Reduction of non renewable assets - conservation, develop priorities
- Application of precautionary principle

Reduce energy use, waste minimisation

Corporate Social Responsibility

TRIPLE BOTTOM LINE - financial, social, environment

refers to open and accountable business actions based on respect for people, community/ society and the broader environment. It involves businesses doing more than just complying with the laws and regulations

CSR is not a legal requirement

Barriers - time, effort, money

Outsourcing Foxconn - poor working conditions (14 employees committed suicide in 2010), workers exposed to dangerous materials

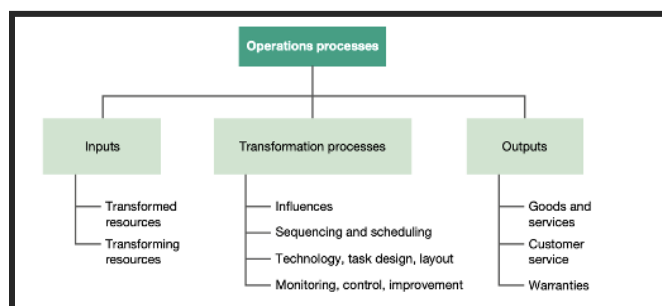
Legal compliance vs ethical responsibility

All businesses must comply with all applicable laws and regulations = legal compliance. Eg, maternity leave

Ethical responsibility: Some businesses go much further and demonstrate a commitment to ethical responsibility (doing more than the minimum that the law requires). Eg, sustainable use of resources

Operation Processes

- are those processes involved directly with transformation



Inputs -resources used in the transformation process

- **Raw Materials:** Basic components of the product (wood, unprocessed food stuffs, minerals, water)
- Machinery and Technology: Enables efficient transformation, design, and production.
- **Information** - external- media reports, sales figures, internal - kpi's, inventory turnover rate

E.g) Cafe

Transformed resources -inputs changed in the process -Raw mats 30M kg of beef annually -Info sales figures -Customers feedback	Transforming resources -inputs that carry out the transformation process -HR McDonalds has over 107,000 global employees and 7 different roles -Facilities chinese large scale factories
milk, coffee beans, sugar	grinder, tamper, coffee machine

The 4 V's

Volume -quantity made over ordering or under ordering

Variety - Range provided 12 different beef burgers

Visibility - customer contact, loyalty

Variation in demand - Valentine's Day, Christmas COVID 19

Sequencing and Scheduling

Sequencing - order in which activities are completed

Scheduling - length of time activities take

Gantt Charts

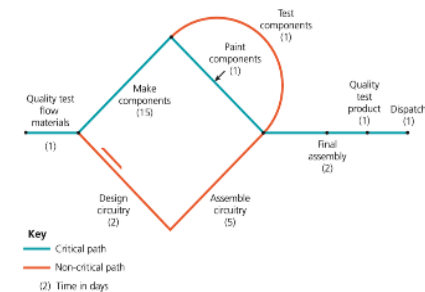
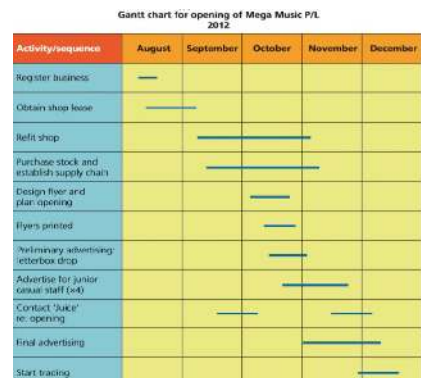
- Outlines activities that need to be performed, order and expected time. Used for any process that has several steps and different activities.

Critical Path Analysis

- A scheduling method that shows what tasks need to be completed, how long they take and what order is necessary to complete tasks.
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- The critical path is the shortest length of time it takes to complete all tasks

Technology

- ★ Computed aided design (CAD)
- ★ Computer Aided Manufacturing (CAM)
- ★ 3D printing and lasers aid production accuracy and speed



★ Applications for accounting, time management and communication

Self serve kiosks

Task Design -classifying job activities in ways that align employee skills with the requirement of the job

Process layout- High variety, low volume e.g.) banks, McDonalds, spanian kebabs

Product layout- Low variety, high volume, assembly line e.g.) car manufacture, Apple

Fixed position layout- Large scale bulky activities that cant move e.g.) ships, buildings

Monitoring, Controlling and Improvement

Monitoring process of measuring actual performance against planned performance.

Control occurs when KPIs are assessed against predetermined targets and corrective action is taken if required.

Improvement refers to the systematic reduction of inefficiencies and wastage, poor work processes and the elimination of any bottlenecks

Innovative with drive thru (second lane)

Outputs

- goods or service
- customer service
- warranties 1 year

Operation Strategies - POGOSQINT

Control to achieve operational goals, and the broader goals of the business operations managers can apply numerous strategies. These can improve efficiency productivity of operations and thus contribute to reducing the cost of running the business and improve profitability.

P- performance

O- outsourcing

G- global factors

O- overcoming resistance to change

S- supply chain management

Q- quality

I- inventory management

N- new product

T- technology

Performance objectives

- goals that relate to particular aspects of transformation processes

-6 aspects within: Quality, speed, dependability, flexibility, costs, customisation

Quality- crucial aspect that distinguishes products in the market against competitors

Quality of design, quality of conformance (meet standards of prescribed design), **quality of service** (reliability)

HACCP plan

Speed – refers to the time it takes for production to respond to changes in market demand.

Dependability-refers to consistency and reliability of a product.

Iphone X launch was delayed due to supply chain issue this highlights issue of relying on a single supplier for a part

Flexibility – refers to how fast the operations process can adapt to changes in the market.

Procedural-how long something takes to be approved?

Technical-caused by the physical capabilities of your tools and resources.

Customisation-creation of individual products to meet the specific needs of the customer

Cost-The minimisation of expenses, so that operations processes are conducted as cheaply as possible

Outsourcing

-Involves the use of external providers to perform business activities

FoxConn

Adv	Dis
-efficiency and cost -access to new skills -increased accountability -strategic benefits (get around legislation)	-payback -communication barriers -loss of control standards -organisational change

Global factors

As a strategy, to counter the threats posed by globalisation, businesses can take advantage of the single world market to gain a competitive advantage.

When going global consider:

- Global Sourcing
- Economies of Scale
- Scanning and Learning

- Research and Development (R&D)

Overcoming resistance to change

Financial	Psychological
Purchasing New Equipment	-Uncertainty and a fear of the unknown can lead people to resist or fight against change.
Redundancy Payout	Ensuring change occurs at a pace that can be absorbed by all involved
Retraining	Communication
Reorganising plant layout	

Supply chain management

- Integrating and managing the flow of supplies throughout the inputs, transformation process and outputs in order to meet the needs of the customer

1. **Sourcing** (purchasing) -demand, quality, how responsive and flexible that supplier can be in providing that input when demand changes, comp pricing

Backwards Vertical Integration: Purchasing or merging with suppliers. This guarantees supply for transformational processes. Eg: Baker buying the Wheat Processing Plant. A business needs to assess whether cost advantages are there.

Supplier Rationalisation: Reduce number of suppliers

2. **E-commerce-** buying and selling goods via Internet

Business to business- E-procurement is managing a supply chain electronically using online systems to manage supply. When stock falls to a certain level, an automated order is placed with the supplier without a formal request from the buyer, saving time and administration costs.

Business to Consumer- Businesses that sell directly to consumers via the internet.

3. **Logistics-** Involves distribution, transportation, modes, use of storage -physical movement of inventories using vehicles, trains, planes and ships.
Australian beef is used in Australia, British beef is used in the UK

Quality management

Quality control- use of inspections at various points in the production process to check for

problems and defects

Quality assurance- use of a system to ensure that set standards are achieved in production

Quality improvement

continuous improvement -an ongoing commitment to improving a business's good or service. It is part of an organisation's culture. It's a belief that over time processes will be made more efficient and effective.

total quality management- a 'holistic' approach (all-encompassing) that involves not only a commitment but the responsibility to maintain quality. There is an emphasis upon employee involvement at all levels for the prevention of quality problems.

Inventory management

LIFO- That stock that has been most recently purchased is sold first. LIFO is used for stock where the price rises over time. For example, tobaccoists, hardware and oil companies might use this method.

Assume that a business buys and resells shirts.	Using LIFO, CoGS is determined by assuming the costs are applied, last back to first (reverse cost incurred)
Batch A: Purchase 5000 shirts @ \$10. Total cost is \$50 000	So, if 11,000 units are sold then working backwards...
Batch B: Purchase 5000 shirts @ \$12. Total cost is \$60 000	Batch A: 5000 cost \$15 each (the last cost incurred)
Batch C: Purchase 5000 shirts @ \$15. Total cost is \$75 000	Batch B: 5000 at \$12 (2nd last cost)
	Batch C: 1000 at \$10 (original cost incurred)
Revenue = 11 000 x \$20 = 220 000	COGS = (5000 x \$15) + (5000 x \$12) + (1000 x \$10) = \$75,000 + \$60,000 + \$10,000 = \$145 000
	Gross Profit = Revenue (\$220 000) - COGS (\$145 000) = \$75 000

FIFO- The stock that has been purchased first is the oldest, and therefore the first to be sold. FIFO is more appropriate for perishable goods but also used for non-perishable goods. [McDonalds](#) [Apple](#)

JIT- To hold as minimal stock as possible and only bring in stock from suppliers as required. This strategy reduces the impact on working capital as cash is not tied up in inventory.

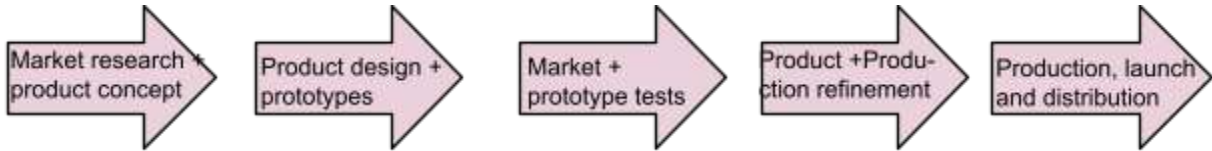
New product

-see gaps in the market that they can fill or improvements in their products that consumers will want to buy.

Consumer Approach – market research is undertaken and the preferences and desires of	Technological Innovation – as technology improves, businesses develop new products to
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consumers are identified. These then determine the new product design.

take advantage to produce products with greater functionality. The innovations and advancements are assumed to be desired by the consumer who is after faster, more user friendly products.



Technology

-Allows a business a competitive edge

- Leading edge tech
- Established tech e.g.) Microsoft Excel

TOPIC THREE: FINANCE

-Financial management is the planning and monitoring of a business's financial resources to enable the business to achieve its financial objectives. The mismanagement of financial resources can lead to problems.

Role of finance

Strategic role- Planning and monitoring of business resources (budgets, forecasts), sourcing finance, setting objectives, preparing financial statements, maintaining cash flow and distributing funds to other parts of the business

Effective management	Ineffective management
Ensuring cash flows are satisfactory to pay obligations ◦ Paying debts on time ◦ Developing adequate control measures (accounting and oversight) ◦ Auditing of accounts (mandatory for listed companies)	Inability to pay suppliers (insufficient cash) ◦ Inadequate capital for expansion (undercapitalisation) ◦ Unproductive assets (lazy balance sheet) ◦ Delays in credit accounts being paid (accounts receivable) ◦ Overstocking of material (inventory tying up liquid cash)

- | | |
|---|--|
| <ul style="list-style-type: none"> ◦ Responsible investment of shareholder funds ◦ Increasing shareholder value (profits and dividend distribution) | |
|---|--|

Objectives of financial management PLEGS

1. Profitability - maximising profitability: carefully monitor revenue and expenses
2. Growth - increase the size of the business by effectively using financial resources
Sales growth of 3-5%
3. Efficiency - minimising costs whilst maximising profit by using least amount of assets
4. Liquidity - MOST IMPORTANT business' ability to meet financial obligations in short term (less than 12 months) important to have enough inventory to sell and turn into cash if required
5. Solvency - business' ability to meet financial obligations in than term (more than 12 months) shows risk in the business capacity of the business to repay long term debt
Stabilise debt of company follow covid19

Short term objectives -----> operational (daily/weekly)
tactical (1-2 years)

Long term objectives -----> strategic (more than 5 years)

- Smaller goals are aimed towards a larger/long term goal
e.g.) long term = increase profit by 50%, short term = hire more salespeople

Interdependence

Operations

- Finance is required for inputs, machinery, land etc. to create value whilst receiving a return on investments
- Operations manages stock & outsourcing whilst finance monitors the cost of it

Marketing

- Generates sales which assist with the short-term financial goal of managing cash flow
- Finance establishes budgets and forecasts marketing must follow

Human Resources

- Finance provides funds for wages/salaries & HR strategies such as training/development

Influences of finance **SIGG**

Debt-

External borrowings used for funding purposes, Debt imposes obligation on the borrower to repay the amount borrowed, including the cost of borrowing. Debt is a cheap source of funding while interest rates are low and can be used to improve the scale of operations such as new technology. Can be both good and bad.

Interest- Fixed (regular predictable) variable rate. Interest payments are tax deductible

Short term debt (current under 12 months) such as inventory

Type	Description	Adv	Dis
Overdraft (credit card)	Allows a business to overdraft its account to an agreed limit. Costs for bank overdraft are. <i>Has overdraft of US 3.5B</i>	- lower than other forms of borrowing	-account fees
Commercial bills	A type of bill exchange issued by <u>institutions other than banks</u> and are given for large amounts usually over \$100,000 and 30 to 100 day period	-large amounts available	-must be repaid in a short period
Factoring	Selling accounts receivable for a discount <u>Without recourse</u> – means that the business transfers responsibility for non-collection to the factoring company. <u>With recourse</u> – means that bad debt will still be the responsibility of the business	-immediate cash flow -saving time chasing payments	-other forms may be cheaper

Long term debt (non current over 12 months) such as plant or equipment

Type	Description	Adv	Dis
Mortgage	A loan secured by the property of the borrower.	-Long period of time (25-30 yrs)	-Property can't be sold off -If repayments aren't made = loss of assets (security)
Debentures	An invite for other companies to loan funds to a business and the other companies benefit by receiving interest payments	- fixed interest rates - fixed period of time	- not flexible - the debenture holder has claims over other assets
Unsecured note	A loan set for a period but <u>is not backed by any collateral</u> or assets, and therefore presents the risk to investors in the note.	-Useful for acquisition	-High interest rates

Leasing	Involves a payment of money for the use of equipment that is owned by another party. Operating- Pay for it to rent it Finance - Buying the assets while paying it back. In 2022, MD paid US \$1.5 billion in leasing payment as a source of funding for lease of land	- borrow funds and use equipment without large capital.	-fees
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Advantages of debt	Disadvantages of debt
-Acquired with short notice -Interest payments tax deductible -Doesn't dilute current ownership	-Risk from financial institutions if bank + gov charges increase -Security is required

Equity-

External equity is equity that is attracted from parties that are initially outside of the business.

Internal equity

Type	Description
Owners equity	Contribution of a business owner's own fund or from partners.
Retained profit	Profits made from business activity that is not taken by the owners but reinvested into business growth. 4 main priorities with profits: invest, pay a dividend, buy back shares and pay off debt Re-invested back into the business
Sale of assets	Assets that are no longer in use can be sold off to then be reinvested in new growth projects

External equity

Type	Description
New issue	Sale of shares to the public, (selling a % of the business) 1965 when it floated on the New York stock exchange, 1.660 million shares issued, 50 years later bought back shares as they wanted to retain control of business.

Rights issue	Release new shares to existing shareholders then if not bought, issued to the public. Potential problem because of diluting shares.
Placements	Offering sophisticated investors a share allotment
Share purchase plans	Sold at a discount to existing shareholders
Private equity (ONLY FOR PRIVATE COMPANIES)	They become “insiders” when they fund or purchase businesses or innovation Investors want a % of the company and want a return

Advantages of equity	Disadvantages of equity
-Doesn't have to be paid unless owner leaves business -No interest payments	-Long expense process -Ownership is diluted

Financial Institutions FIBULAS

-The businesses and organisations that provide finance are themselves subject to their own business influences. E.g.) When a bank raises interest rates out of cycle all businesses that have loans through the bank need to pay higher interest rates.

Banks- Major operators in financial markets and are the most important source of funds. Banks receive savings as deposits from individuals, businesses and governments in turn make investments and loans.

Investment banks- Provide services in both borrowing and lending, primarily to the business sector.

- Trade in money, securities and financial futures
- Arrange long term finance for company expansion
- Arrange project finance
- Advise clients
- Advice on mergers and takeovers

Finance companies - Act primarily as intermediaries in financial markets. They provide loans to businesses and individuals through consumer hire-purchase loans, personal loans and secured loans to businesses.

Insurance companies - Provide loans to the corporate sector through receipts of insurance premiums, which provide funds for investment.

Superannuation- Superannuation funds have grown rapidly in Australia due to tax incentives and compulsory superannuation introduced by the government. These organisations provide

funds to the corporate sector through investment of funds received from superannuation contributions. Superannuation funds are able to invest in long-term securities as company shares, government and company debt because of the long-term nature of their funds.

Unit trusts- (mutual funds) take funds from a large number of small investors and invest them in specific types of financial assets. Unit trusts investments include the short-term money market (cash management trusts), shares, mortgages and property, and public securities.

ASX-

A market operator, clearing house and payments system facilitator. It oversees compliance with its operating rules and promotes standards of corporate governance among Australia's listed companies. The ASX offers products and services including: shares, futures, exchange traded options, warrants, and contracts for difference

Primary- Enables a company to raise new capital through the issue of shares and through the receipt of proceeds from the sale of securities.

Secondary- where pre-owned or second-hand securities, such as shares, are traded between investors who may be individuals, businesses, governments or financial institutions.

Governmental Influences

-influences a business's financial management decision making with economic policies such as those relating to the monetary and fiscal policy, legislation and the various roles of government bodies or departments who are responsible for monitoring and administration.

Australian Securities and Investments Commission (ASIC)

-Australia's integrated corporate, markets, financial services and consumer credit regulator and is an independent Australian Government body. They govern superannuation funds, insolvency and financial services.

Has to submit names and personal details of directors, share structure, resolutions and financial statements

Company taxation

-aka corporate tax

A type of tax direct tax levied on the income or capital of corporations and the other similar legal entities. The base rate is 25% and is paid to the ATO. Some businesses are exempt such as non-profit organisations and government entities.

Rate on income tax- 21.1% in 2022, '[Unhappier meal- Tax avoidance still on the menu at mcdonalds](#)' A trade union report accused Mcdonalds of using its corporate structure to significantly reduce taxes

Global market

'Uncontrollable' means that these influences are part of the external business environment and may not be significantly controlled by the business. However, a business can put in place appropriate financial management strategies to minimise the negative effects.

Economic outlook - Projected changes to the level of economic growth throughout the world
Positive- Increased product demand, decrease interest rates on funds borrowed internationally, profit increase

Facing increased labour and material cost due to inflation

Interest rates- The higher risk involved in leading to a business, the higher the interest rates. Typically Australian interest rates are higher than most of the world, this tempts businesses to borrow from overseas. However the risk of exchange rate movements which could end up costing the business more.

Availability of funds- Refers to the ease a business can access funds for borrowing on the financial market. Conditions and rates will be based primarily on risk, demand and supply and domestic economic conditions. GFC reflection of high risk lending

Finance processes **PIMFLE**

Planning and Implementing



Determining financial needs

- Conducted SWOT for financial position
- Obtained through documents such as income statements, cash flow statements and balance sheets
- Acknowledging this will allow development of accurate forecasts of sales
- The financial elements of the business plan are essential to achieve business goals

Budgets

- element of understanding performance. Identifies anticipated sources of revenue and expenses derived from strategic business plans.

Operating budget: relates to day to day expenses such as sales, labour
strict budgets are set for hourly, daily, weekly and monthly targets. Metrics, such as wages vs sales, are used to assist with budgeting.

Financial budget: relates to balance sheets, cash flow statements

Record systems

-Practices used to store sales, assets, expenses, product and customer data. Use of **MIS management info system**, softwares to coordinate large volumes of data.

MD- Point of Sale (POS) system used at the front counter, called NewPOS (NP6). Information from this system is used by stores to record sales, assemble food, roster staff, order supplies, and perform other operational activities.

Financial risks

Credit risk: The risk of loss due to a borrower's failure to repay a loan or meet contractual obligations

Market risk: The risk of loss due to changes in market conditions, such as fluctuations in interest rates, exchange rates, or stock prices.

Liquidity risk: The risk of loss due to the inability to sell an asset quickly enough to prevent a loss or meet financial obligations.

Operational risk: The risk of loss due to inadequate or failed internal processes, people, or systems, or from external eve

Financial controls

The policies and procedures put in place to ensure the business's objectives and plans are achieved most efficiently.

McDonald's uses an external auditor (Ernst and Young) to assess the effectiveness of its financial controls annually.

Monitoring and Controlling

Cash flow statement- movement of cash receipts (inflows and outflows) and asses ability to manage its cash

Positive- able to pay financial commitments

Negative- unable to pay financial commitments

	Jan	Feb	March
opening balance	\$7000	\$10000	\$12000

cash inflow	\$4500	\$6000	\$5500
cash outflow (minus from inflow)	\$1500	\$4000	\$7000
monthly net (equal to inflow-outflow)	\$3000	\$2000	(\$1500)
closing balance (monthly net plus opening balance)	\$10000	\$12000	10500

Income statements (revenue or profit + loss)

- Summary of income earned and the expenses incurred over a period of trading
- Mark up - Cost added onto a product to make a profit

Finds	Formula
COGS	Opening stock + purchases - Closing stock
Gross profit	Sales- COGS
Net profit	Gross profit - Expenses

Balance sheets

Assets= Liabilities + Owners Equity

-represents a business's assets and liabilities are the particular point in time.

Assets- what is owned by a business

Current assets can be turned into cash within 12 months e.g.) inventory, accounts receivable

Non current - can't be turned into cash in 12 months e.g) vehicles, buildings

Liabilities- items of debt owed to outside parties

Current liabilities must be repaid in 12 months e.g.) overdraft, accounts payable

Non current liabilities must be met some time after 12 months e.g) mortgage, leases

Owners equity- The funds contributed by the owners e.g) retained profit, capital

Financial ratios - used to analyse the financial state and conditions of the business

3 main ways to analyse data over time:

- Vertical analysis —> comparing figures in one financial year
- Horizontal analysis —> comparing from different financial years
- Trend analysis —> comparing figures for a period of 3-5 years

Ratio	Formula	Where to find	Ideal range	Shows	Improvement
Current ratio (Liquidity)	<u>Current assets</u> <u>Current liabilities</u>	Balance	1.5-2:1 < 1 liquid >1 not	Extent to which a business can meet short term financial commitments	↑ invest, R&D ↓ raise equity to pay CL
Debt to equity ratio (Solvency)	<u>CL + NCL</u> <u>OE</u>	Balance	0.5:1 (big businesses can have higher as they have more risk) < 1 not (high gearing) >1 solvent (Low gearing)	Ability to meet long term financial commitments. Shows proportion of debt to equity that a business has to finance its activities	↑ sell or lease assets to pay debt, increase revenue ↓ expand its operation
Gross profit ratio (Profitability)	<u>Gross profit</u> × <u>100</u> <u>Sales</u> 1	Revenue	40% (Higher the better)	Earning performance + capacity to maximise profit	↓ raise prices, obtain lower price stock
Net profit ratio (Profitability)	<u>Net profit</u> × <u>100</u> <u>Sales</u> 1	Revenue	10% (Higher the better)	How much revenue is spent on expenses rather than kept as profit	↓ reduce expenses, improve sales
Return on equity ratio (Profitability)	<u>Net profit</u> × <u>100</u> <u>Owners equity</u> 1	Revenue Balance	Above 10% (Higher ratio, greater return)	How effective the funds of an owner have been in generating profit. ROI	↓ lower expenses
Expense ratio (Efficiency)	<u>Expenses</u> × <u>100</u> <u>Sales revenue</u> 1	Revenue	Lower the ratio more efficient the business is	Total amount of sales allocated to a businesses expenses	↑ lower expenses, monitor cost centres
Accounts receivable turnover ratio (Efficiency)	<u>Annual Credit Sales</u> <u>Average Accounts Receivable</u> Then divide by 365	Revenue	30 day turnover	How efficiently a business collects debt	↑ interest on overdue payment, discount for early payments

Comparative ratio analysis

- Over periods of time
- Against benchmark standards
- With similar businesses

Limitations of financial reports

-caution needs to be exercised when reading financial information

-misleading info impacts business decision making and puts business at risk

Normalised earnings - process of removing one time or unusual influences from the balance sheet to show the true earnings of the company.

Capitalising expenses - process of adding capital expense to balance sheets that is regarded as an asset rather than an expense

Addition of new restaurants

Valuing assets - process of estimating the market value of assets or liabilities

- Discounted cash flow method
- Guideline company method

Timing issues - Financial reports cover activities over a period of time, usually one year. Therefore, the business's financial position may not be a true representation if the business has experienced seasonal fluctuations.

Straight line depreciation may not reflect economic reality

Debt repayments- can be limited because they do not have the capacity to disclose specific information about debt repayments

Notes to financial information - report the details and additional information that are left out of the main reporting documents, such as the balance sheet and income statement.

Ethical issues of financial reports

Inaccurate figures or unethical behaviours in financial statements can mislead individuals, and eventually could lead to the loss of money and resources or even criminal charges such as fraud or corruption.

McDonald's management can earn extra pay and gain stock options based on performance.

Helps maximise performance however steps must be taken to prevent presentation of financial info in a way that maximises personal benefit

Audit- an independent check of the accuracy of the financial records of a business.

Internal audit - Conducted internally by employees to check accuracy and procedures.

Management audit - A review of the strategic plan of the business to determine if changes should be made

External audit - Required by the Corporations Act 2001 (Cwth). Conducted by external, independent accountants to guarantee the authenticity of the accounts.

Record keeping

Accounting processes depend upon accurate and honest recording of data into financial statements.

Not recording cash, for example, is a form of inaccurate record keeping. The Australian Taxation Office regularly conducts investigations to discover activities of businesses that intentionally evade tax. Tax evasion comes with harsh penalties

Reporting Practices

Governments and other stakeholders are entitled to access information about a public business's finances. Shareholders are legally entitled to receive Annual Reports on time.

Finance strategies

Cash flow management

"Even in periods of softer performance, McDonald's unique business model and structure enable us to generate significant cash flows."

Cash flow statements

outline money coming in and out of the business and ensures outflow is not greater than inflow

Distribution of payments

Spreading out payments throughout the month/year to avoid lump sum and have equal cash flow each month and helps to avoid sudden cash shortfalls

Discounts for early payments

Offering discounts to debtors that owe the business money

Factoring

Selling accounts receivable at a discounted price

Working capital management

Aka liquidity, working capital = current assets- current liabilities

Working capital is crucial to a business, makes up approx. 40% of their assets

Control of current assets

Cash

McDonald's has contractual arrangements with franchisees for regular payments of rent and royalties. These include the requirement that franchisees must report the previous month's sales by 11 a.m. on the first day of the next month.

Receivables

McDonald's has tight contractual control over receivables from franchisees. Late payments of rent or royalties may attract high interest for franchisees

Inventories

McDonald's has assembled burgers only when ordered by the customer. This has reduced wastage at the point of sale and the costs associated with it. FIFO system

Control of current liabilities

Payables

Loans

Overdraft

Strategies

Leasing: payments are spread out over a period of time and gives opportunity for a business to use a wide range of equipment.

- Tax deductible
- Avoids technological obsolescence
- Avoids maintenance costs

This strategy allows more rapid expansion without large initial capital outlay. Cash can be retained in always matched with rental payments due from the business for other uses — and leases are almost always matched with rental payments due from franchisees under franchise agreements.

Sale and lease back: business sells assets to a lessor and then leases it back

- Helps improve liquidity and having a large cash injection from sales

"We are not basically in the food business. We are in the real estate business." -An exec stated

Profitability management

Cost controls

Fixed and variable: Often best to compare these costs to previous periods to analyse and observe change.

Fixed- council rates, insurance premium

Variable- royalty fees

Cost centres: specific area, department or sections of a business where costs can be directly attributed – e.g. service cost centre, production cost centre, advertising cost centre and IT department

- Allows for clearer budgeting and cost control
- Helps management utilise resources more efficient

Expense minimisation: minimise costs through cheaper suppliers, packaging and design.

Revenue controls

Marketing objectives: aimed to cover fixed and variable costs and be left with a profit

- Sales objectives- cover costs and break even point
- Sales mix- focus on target market
- Pricing policy- overpricing may detract buyers

Global financial controls - most influences are uncontrollable however these strategies are intended to minimise risks

Exchange rates - ratio used to convert currencies

Banks organise the currency exchange through the Foreign Exchange Market (FOREX or FX)
AUD to USD

By doing business in local currencies, McDonald's can take advantage of a natural hedge to minimise risk. This is because both revenues and expenses will either increase or decrease together relative to the US dollar.

Currency appreciation - good for importers, bad for exporters

Currency depreciation - bad for importers, good for exporters

Interest rates

Usually, debt can be accessed more cheaply from overseas debt markets.

Interest rates can move higher in these countries, posing a financial risk to international borrowers.

The main risk, however, is currency risk. To borrow from overseas means that loans are taken out in another currency.

Methods of international payment:

Payment in advance- Allows the exporter to receive payment and then arrange for goods to be sent. However very few importers will agree to these terms as it exposes them to the most risk as they have no guarantee they will receive what they ordered.

Letter of credit- Is a commitment by the importers bank which promises to pay exported a specified amount when the documents providing shipment are presented, popular with exporters.

Clean payment- Easiest and quickest method. When a payment is sent but not received by the exporter before goods are transported. Requires complete trust.

Bill of exchange - A document drawn up by the exporter demanding payment from the importer at a specific time.

Document bill against payment- importers can only collect goods after paying for them

Document bill against acceptance- importers may collect bills before paying for them

Hedging

Process of minimising risk of financial transaction. A hedge is used to reduce any substantial

losses or gains suffered by an individual or organisation.

A business can hedge by purchasing a financial instrument such as derivatives to lock in exchange rates or the price of commodities at today's rate to guard against price fluctuations.

Derivatives

A contract between two or more parties whose value is based on an agreed upon underlying financial assets, index or security

1. Forward Exchange Contract

- * Contract to exchange one currency for another at an agreed rate at an agreed time
- * Usually 30, 90 or 180 days

2. Options Contract

- * Gives the buyer the right to buy or sell currency at future time
- * No obligation
- * Buyer - option holder

3. Swap Contract

- * Contract to swap currencies on the spot with an agreement to reverse the transaction in the future
- * Allow domestic and foreign companies to take advantage of their good credit rating at home

Uses forward exchange rate contracts, options and cross currency swaps

TOPIC FOUR: HUMAN RESOURCES

Human Resources Role

Strategic role of human resources

- Human resource management refers to the management of the total relationship between an employer and employee in order to achieve the strategic goals of the business

aka industrial relations

2 million workers

Interdependence

Marketing- Staff must be motivated and skilled to develop products within the business that cater to the needs and wants of potential customers.

Operations- HR ensures workers have adequate skills and ability

Finance- HR managers must work within budgets provided by finance to fund training & development, workplace education issues and WHS

Outsourcing

Human resource functions

-Reduce costs, obtain specialist support and improve productivity

-Outsource specialist HR functions such as recruitment, induction, leadership, mediation, payroll

-There are benefits and risks in contracting, from lower costs, to the problem of loss of direct customer contact, and consistent quality and performance in outsourced activities.

Contractors

A person or firm that undertakes a contract to provide materials or labour to perform a service or do a job.

-A contractor is used by a business to create cost savings or access greater expertise, not long term.

Businesses may hire contractors:

- To temporarily fill a position
- As they are also cost effective as there are no "on costs" (e.g. workers compensation, holiday pay).

Risks include:

- Lack of loyalty
- Time lags

- Cost overruns or increased costs
- Loss of quality control
- Difficulty coordinating activities

Independent contractors subject to contract for service: employment is not ongoing and an agreed fee is paid in return for their service, which they will provide usually for a fixed period.

Contractors are responsible for their own tax requirements whilst with employees, the business is responsible for PAYG tax deductions and superannuation.

Domestic:

- Advantageous as expert knowledge is based on how Australian businesses operate and easy communication in the same time zone.

Global

- Many firms are under pressure from global competition now contract foreign businesses to provide a readymade workforce.
- It reduces costs and allows business to access labour without having to consider issues such as minimum labour requirements and WHS laws.
- Risks include difficulty controlling quality and reliability of service. Cultural differences may impact customer service.

SafetyWorks is a company which helps comply with workplace health and safety requirements to ensure all stores are better equipped to meet legal mandates and safe work practices. Workstar is an app developed to facilitate online job applications, induction and basic training such as front counter and customer service

Human Resource Influences

Stakeholders

Employers

An employee is an individual who provides his or her skills to a business in return for a regular source of income.

Significant employer accounting for 7% of all restaurant and cafe workers

Employees

An employer is the individual or organisation that pays others to work for their business. The employers are often the owners of the business and, as such, take responsibility for ensuring that the business has the appropriate staff to achieve the organisation's goals.

Many are young and at school therefore have clearly defined training pathways that are designed to encourage progression through the organisation

Employer associations

Employer associations are organisations that aim to promote the interests of employers within the

business environment. They encourage governments to develop policies that enhance the interests of the employer within the employee-employer relationship

E.g.) Business Council of Australia and Employers First

Member of The franchise council of Australia (FCA)

Unions

A union (or trade union) is an organisation that aims to protect and promote the interests of employees within the workplace. Unions assist employees with disputes in the workplace and act as a bargaining agent in wage negotiations. They also advise members on workplace rights, wage levels and occupational health and safety issues.

E.g.) Maritime Union of Australia

Government organisations

Establish the legal framework which operates employment relationships.

- An Award is a legal document that specifies the minimum working conditions that apply to all people employed in a common industry. It covers matters such as wages, holidays, sick leave and overtime.
- Working Conditions are the non-wage features of an employee's workplace contract. These include the hours of work, rostering issues, promotional policies and OH&S.
- A Certified Agreement is an agreement that is negotiated between an employer and all its employees and if requested, unions may assist employees in the negotiating process

Fair work Australia was established in 2010 by the Fair Work Act 2009 and its primary functions are to:

- Encourage the prevention and settlement of industrial disputes between employers and employees through conciliation and arbitration.
- Determine minimum wages through national wage case hearings
 - Arbitrate on unfair dismissal claims where the employee believes that their dismissal was 'harsh, unjust or unreasonable'

The fair work commission in December 2019, made a ruling that all McDonald's workers be paid under the national fast food industry award finding that the previous enterprise agreement treated workers unfairly

Society

Influences the workplace, as workplace practices are reflective of behaviours that are upheld within society.

- Issues such as perceived discrimination, harassment and unfair working conditions are becoming increasingly publicised.
- With strong media attention, businesses must be seen to respond in a manner that is consistent with the view of society.

Society places great value on high school education . As a result, McDonald's has a responsible student employment policy which restricts the hours school students are allowed to work

Legal

The legal framework is the interconnected laws that exist to regulate the process of human resources.

Employment contract

-Legally binding formal agreement between employer and employee

A written contract, however, offers more protection and clarifies key duties, reducing potential disputes. For a contract to be valid, it must involve consent, intent to form a legal relationship, and mutual benefits.

Under common law, which is developed by courts, both parties have obligations. Employers must provide work, pay wages, and comply with industrial relations legislation that protects employees from discrimination and unfair dismissal. They also have a duty of care to provide a safe working environment.

Employees are required to obey lawful commands, work with care and skill, and act in good faith, such as not sharing confidential information with competitors.

Additionally, the Ten National Employment Standards (NES) outline minimum conditions for workers, covering pay, working hours, and leave entitlements, designed to protect vulnerable employees.

In Jan 2019, a manager at a Brisbane McDonalds made headlines stating if employees took a full 10 minute break, the franchise would respond by not letting employees have toilet or drink breaks in addition to this.

Awards

Legally binding documents containing minimum terms and conditions of employment. Additionally any legislated minimum terms for an industry or occupation.

E.g.) Minimum wage, penalty rates, rest breaks, allowances, flexible working arrangements

Award breaches may be reported by employees to Fair Work Australian, they then inspect workplace complaints and assist in resolution.

Enterprise agreement- Collective agreement made at a workplace level between employer and group of employees about terms and conditions of employment.

Single-enterprise agreements are contracts between one employer and a group of employees, setting workplace-specific terms.

Multi-enterprise agreements involve two or more employers and their employees, often in related

industries.

Greenfields agreements are made for new businesses or projects before employees are hired, negotiated with unions.

Other employment contracts

Independent contractors- Aka consultants and freelancers

They undertake work for others however don't have the same legal status as an employee. They operate as a sole trader, 13% of the workforce are independent contractors. They often work for multiple clients.

FWA provides a clear set of criteria of whether someone is a contractor or employee. This includes covering their own superannuation, tax, insurance and leave.

Contracts for casual work

Increased from 21% of the workforce to 24% in 2015.

Casual employees are paid on an hourly basis and no paid leave.

Many employers prefer casual as it reduces costs for recruitment dismissals and other costs.

Many casual employees miss out on training and promotion

Part time contracts

Increasing number of part time employees in Australia.

Unlike casual employees they do have access to the employment entitlement offered to full time employees but on a smaller scale.

Work health and safety

Safe Work Australia (a federal government institution) was established to conduct research and develop national standards, codes of practice and common approaches to WHS legislation, which are regulated by state governments

In New South Wales, under the Work Health and Safety (WHS) Act 2011, the following are required:

- Employers must ensure the health, safety and welfare at work of all employees by providing a safe system of work
- All employers must take out workers' compensation insurance, or face imprisonment or a \$55,000 fine.
- Health and safety committees must be established at workplaces with more than 20 employees if requested by a majority of employees or if directed by WorkCover.
- WorkCover inspectors may inspect the workplace, collect information, and issue improvement and prohibition notices.
- WorkCover must be notified of any deaths or serious injuries in the workplace.

Measurement of workplace injuries - the Lost Time Injury Frequency rate (LTIFR) which is calculated as the number of hours lost per 1 million hours worked. Goal is to have less than 8.5 hours lost per million hours worked

Workers compensation

State legislation covers employees for workers' compensation matters, unless they are Commonwealth Government employees.

All employers must:

- Take out a policy with a licensed insurer. Premiums are closely linked to the number, frequency and size of claims, so it is in the employer's interest to focus on achieving high standards for WHS.
- Keep time and wages records, a register of injuries, and complete accident and internal investigation forms, or face a penalty of \$55 000 or six months' jail.
- Notify insurers of significant injuries within 48 hours
- Establish, in consultation with the insurer and the employee's doctor, an injury management plan and a return-to-work plan for all injured workers, when fit for 'suitable duties'.
- Pass on compensation monies to the person entitled as soon as possible.

Anti Discrimination

Discrimination occurs when a policy or a practice disadvantages a person or a group because of a personal characteristic that is irrelevant to the performance of the work. It includes harassment and vilification

Anti-discrimination legislation has been enacted to protect employees from direct and indirect discrimination in all aspects of HR.

Employers and managers working in human resources need to be familiar with the following legislation:

- Human Rights and Equal Opportunity Commission Act 1986 (Cwlth)
- Affirmative Action (Equal Employment Opportunity for Women) Act 1986 (Cwlth)
- Sex Discrimination Act 1984 (Cwlth)
- Anti-Discrimination Act 1977 (NSW)

Equal Employment Opportunity

- Ensures fair practices in recruitment, selection, training, and promotion, focusing on hiring the best candidate for the job while fostering a positive work environment. EEO promotes equal access to job roles for women and minority groups and reduces workplace discrimination.

Businesses with over 100 employees, as well as higher education institutions, must create affirmative action programs to remove discriminatory barriers. These programs, monitored by the Equal Opportunity for Women in the Workplace Agency, involve reporting workplace profiles, actions taken

to address issues, and future plans.

The Fair Work Act also enforces non-discrimination in awards and agreements. Businesses are encouraged to focus on key areas such as recruitment, career development, work-life balance, and preventing sexual harassment to improve equity.

Specific strategies include creating strategic plans, establishing affirmative action policies, and monitoring employment statistics.

Select employees without regard to race, religion, sex, age, origin, disability, sexual orientation and genetic info

Economic

The demand for labour (employees) is determined by the demand for goods and services within the economy.

- If labour shortages develop during periods of economic growth, employers compete for employees by offering higher wages.
- During downturns in the economic cycle, the demand for goods and services falls. Businesses are forced to reduce the size

In 2021, a McDonalds in Illinois offered staff a free iPhone if they stayed for 6 months

A Florida McDonald's was so desperate for interviews they offered \$50

Technological

Technological change is the major source of improvements in productivity, communication and competition between businesses.

Old jobs are made redundant (manufacturing)

New jobs are created (social media expert)

Communications technology makes video conferencing easy, limited travel expenses and inconveniences.

- Easier to achieve economies of scale

Voice recognition- Trialing in drive thru, allowing staff to concentrate on other things. However AI has been failing and customers are angry

Self service kiosks

Social

Changing work patterns

Part time employees were 31% in 2018, up from 25% in 1998.

Casual employees \$1.7 M to \$2.6 M over the same period

Flexible working conditions such as **job sharing** (two part time employees share the work and pay of a single employee.)

44% of employees have worked for their employer for more than 5 years

- Rising female participation rate
- Ageing of the workforce
- Early retirement

Open for 24 hours to be accessible for all people, early morning workers, late night, shift workers

Living standards

Standards include occupational health and safety, regular wage increases, performance bonus, fringe benefit, leave and superannuation.

Conflict occurs with cost of living and work life balance.

Ethics and corporate social responsibility

Ethical business practices are those practices that are socially responsible, morally right, honourable and fair.

An ethical framework must be developed for the workplace, in collaboration with the major stakeholders.

Potentially include:

- Code of conduct (acceptable and unacceptable)
- Key principles: equity in workplace processes, legal compliance, and commitment to customers
- Code of ethics (form of values and principles)

Issues

- Unlawful dismissal
- Bullying
- Work overlord
- Harassment

Leads to

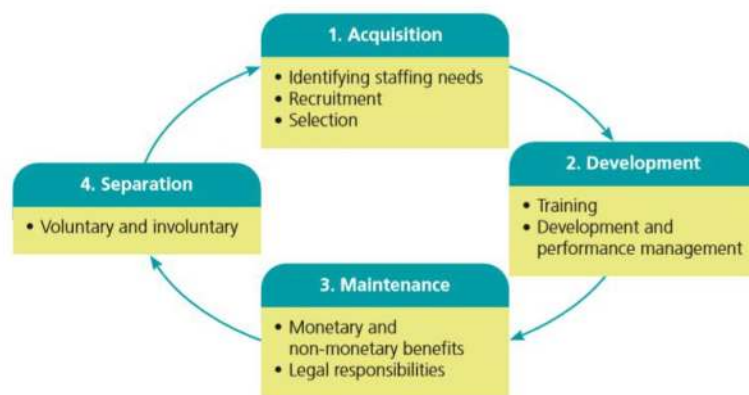
- Low morale
- Decreased productivity

Employs many young workers on their first job and not part of a union therefore a potential power imbalance with managers having the upper hand.

Student policy

During covid “We wouldn’t ask our customers to go where we wouldn’t go, or our crew to work where we wouldn’t work”

Human Resource Processes



Acquisition

- Process of attracting and recruiting the right staff for roles in a business.
- **Involves analysing internal (eg, goals, tech, structure and objectives) and external (eg, competition, economic) environments.**

Job analysis and job design are required to meet the needs of new positions. These are undertaken through staff interviews, observations, and reports from performance appraisals and evaluations. Job specifications and descriptions can then be developed and prepared for applications through external or internal recruitment.

Recruitment and selection

- process of locating and attracting the right quantity and quality of staff to apply for employment vacancies or anticipated vacancies at the right cost

Potential applicants submit details through one central website which is a straightforward easy process

Development

Effective development programs ensure that experienced and talented staff are retained. They enhance employees' motivation and commitment to the business through promotion opportunities over the longer term.

Induction- An effective induction program is carefully planned to introduce a new employee to the job, their co-workers, the business and its culture.

Training

The aim of training is to seek a long-term change in employees' skills, knowledge, attitudes and behaviour in order to improve work performance in the business. It is essential in overcoming business weaknesses, building on strengths and maintaining staff commitment. A focus on acquiring new skills and knowledge helps a business adapt to change and stay ahead of the competition. A business's ability to remain competitive can be affected by the extent of training it offers. A lack of training, for example, may be damaging in the long run because it could result in higher turnover rates as staff seek development in other businesses.

\$40M annually on training and hamburger university

Organisational Development

-Refers to enhancing the skills of an employee in line with the changing and future needs of the organisation.

Job enlargement — increasing the breadth of tasks in a job

Job rotation (multi skilling) — moving staff from one task to another over a period of time

Job enrichment — increasing the responsibilities of a staff member

Performance management

Performance appraisal is a systematic process of analysing and evaluating employee performance for strengths, weaknesses, opportunities for development and potential promotion.

1. to provide feedback from management to employees regarding work performance
2. to act as a measurement against which promotion and pay rises can be determined
3. to help the business monitor its employee selection
4. to identify employees' training and development needs.

Performance appraisal tool	Advantages	Disadvantages
Behaviour observation scales — supervisor observes and records evidence of behaviour and performance over time	• Allows ongoing collection of a range of evidence • Can provide feedback easily	• May focus too much on negative elements • May be adversely affected if supervisor not familiar with job • Open to personality clashes
Interview — formal discussion between supervisor and employee	• Can be flexible and detailed • Allows for questions and discussion	• As supervisor has reward and promotion power over employee, the employee may struggle to be open in discussion.
Management by objectives — objectives set for the employee, performance rewarded according to results	• Rewards achievement • Goal setting can motivate employees to find new and better ways to work.	• Inflexible, does not consider strategies to deal with issues • Open discussion can be limited as supervisor has reward power. • Rating criteria may be set too high or low.
Critical incident method — records how employee responds in specific situations and times, tends to be used for employees who are supervisors	• More objective, record of behaviours can be verified and has legal value. • Useful for analysing frequency of behaviours	• Costly to administer • Negative incidents more likely to be reported • Clinical supervision not popular

Maintenance

Benefits

Benefits for employees can be both monetary and non-monetary, depending on a business's resources and activities.

Common benefits include flexible work arrangements, paid training, travel allowances, health insurance and company cars. Businesses assess these benefits for their impact on staff retention and workplace culture. Some benefits, such as airline transport, accommodation, housing loans, and entertainment, may be subject to employer-paid fringe benefits tax (FBT) so businesses have to be careful.

Employers must pay superannuation for employees aged 18-70 who earn at least \$450 per month.

Flexible and family-friendly work arrangements

Many Australian employees prioritise work-life balance when choosing jobs, leading employers to adopt more flexible working arrangements.

These arrangements are now part of the New Employment Standards and many industrial agreements. Family-friendly programs help retain staff by acknowledging the balance between work and family life, reducing the need for recruitment and training costs. Such programs also enhance the business's image in the community. Conversely, non-family-friendly policies can have a significant negative impact on businesses.

Runs a reward program that follows a pay for performance philosophy. Includes cash and share bonuses, recognition program and company cars. After 10 years of service employees get a 8 week paid break

Separation

Involuntary Dismissal – Redundancy

Redundancy may be necessary in cases such as workplace closure, project completion, lack of work, reduced customer demand, or financial difficulties.

Employers must provide documentary evidence, such as financial statements, to justify redundancies. Factors like length of service, performance, and voluntary departure should be considered when selecting staff for retrenchment. Notice and leave entitlements must comply with legislation and industrial agreements. Managers should consult with staff, offer support, and ensure a smooth transition.

Employers must confirm termination in writing and comply with award provisions, which often include procedures for retrenchment, notice, and severance pay. Employers may need to prove that the redundancy is genuine, no alternative work was available, and redeployment options were discussed.

Involuntary Dismissal – Misconduct or Poor Performance:

Staff can be dismissed for various reasons, with summary dismissal being an immediate action for serious misconduct, such as theft.

Dismissals must be fair and reasonable, and Fair Work Australia assesses whether the reasons were justified, properly investigated, and if the employee had a chance to respond.

In cases of poor performance, employers must provide written warnings, offer support to help improve, and notify employees of the reasons for termination, giving them an opportunity to respond. Employers must follow these processes before dismissing an employee.

Unfair Dismissal:

Selecting staff for dismissal can be risky and requires awareness of legislation and industrial agreements. Documentation of processes undertaken is also required to avoid claims of unfair dismissal.

Fair Work Australia provides these grounds for unfair dismissal claims for employees: as a case where the dismissal was harsh, unjust, or unreasonable, was not genuine redundancy, and did not follow the Small Business Fair Dismissal Code.

Disputes can be resolved through conferences or hearings, with reinstatement or compensation (capped at six months' pay) as potential outcomes.

Businesses can face significant challenges due to such claims. Many prefer to avoid the risk by hiring casual workers or tightening employment contracts, including job descriptions, probation periods, and measurable targets. Unfair dismissal claims can damage a business's reputation and lead to costly settlements. As a result, many businesses seek specialist advice to navigate termination procedures.

Higher staff turnover than other companies, 42% of crew annually. Exit surveys

Human Resources Strategies - DPRTD GRL

The management of staff needs to be aligned with the strategic goals of the business. This overarching strategy is determined with the four key functions of business.

HR strategies can be applied in accordance with the strategic objectives of the organisation.

Leadership style

- Poor leadership can lead to low productivity, absenteeism, conflict in the workplace and poor workplace culture.
- Improving the leadership skills of managers can improve overall business performance.

Autocratic allowing for consistency and uniformity

Job design

-general or specific tasks

When jobs are created in collaboration with Operations, consideration must be given to the requirements of the position. Ensuring that positions are rich and rewarding (as much as possible) is essential to a vibrant workplace.

McDonald's employees have specific task built into their job design with little or no scope for change

Recruitment

There are a variety of approaches to recruiting the best talent for roles within an organisation. Depending upon the business's strategy, recruitment can be adaptively undertaken to best match human resources with objectives.

A poor selection process leads to increased costs and lower productivity by increasing:

- Training costs
- Job dissatisfaction, lower performance, industrial unrest/labour turnover if the business or the job does not meet the expectations of candidates selected
- The absenteeism rate if staff feel inadequate for the job/business or feel excessive work pressure

Internal or external

Internal recruitment- Adv	External recruitment - Adv
- Motivational for staff - Builds commitment and loyal	- Get specific skills - Wider applicant pool
Internal recruitment- Dis	External recruitment - Dis
- Rivalry for positions - No new skills	- Risk of unknown staff - Lots of effort and time

General or specific skills

Key general skills include flexibility and versatility, social confidence, a positive attitude, motivation, ability to work as a team or independently, leadership and decision-making styles, willingness to learn, and ability to work under pressure.

Specific skills are used to fill gaps in the business.

Most McDonald's employees start as crewmembers another credit externally

Training and development

Used strategically to target either the current needs of the business, or the anticipated future needs of the business (or both).

Training - Aims to develop skills, knowledge and attitudes. Critical as shortage of skilled labour.

Development- Aims to enhance skills

The business benefits by retaining the employees experience and knowledge of the business and by helping it maintain competitiveness.

Hamburger University - Training facility

Performance management

An employee should undergo frequent systematic performance reviews to ensure the criteria for recruitment is being met. It is an opportunity for a two way interaction that includes:

- An evaluation of past and current performance
- Using that evaluation to determine a developmental pathway

Developmental

- Focused on using data to develop the individual skills and abilities of employees, so they improve their effectiveness in their roles, overcome weaknesses and prepare for promotion.

Administrative

- Provides information, often following an annual appraisal, which can be used by management for planning in human resource functions such as training, development, rewards, pay levels, benefits and performance improvement

Benefits for the business	Benefits for the individual
• assists with human resource planning • can plan to overcome gaps or weaknesses found in performance • shows the effectiveness of current selection processes and whether staff recruited match the cultural fit and skills required for the organisation • identifies training and development or legal compliance needs • evaluation of rewards and benefits programs • communicates expectations, helps build trust, promotes long-term organisational development. • helps identify, motivate and retain talented staff for leadership succession • identifies and documents poor performance, and links it with training and improvement strategies • helps build best practice culture	• comparison of contribution to organisation and performance against agreed standards • helps assess rewards and benefits linked to performance • builds self-efficacy as contributions recognised — important in motivation and retention • identifies strengths and weaknesses, creating opportunities for training and development, coaching or mentoring • creates opportunity for employee to provide feedback • initiative recognised and rewarded • fosters promotion on merit • employee focus is aligned with organisational strategy

Performance appraisal and performance management systems are often regarded as surveillance systems and are dreaded by employees. They are more readily accepted by employees when they are designed collaboratively with key stakeholders.

360° feedback method, whereby team members are rated from all angles such as co-workers, managers and customers McDonald's performance reviews allow for a regular formal opportunity to accompany goals and individual staff goals are aligned

Rewards - (Monetary or non-monetary)

A well-planned system for rewarding superior performance can help increase workplace productivity, motivation, and workplace culture.

It can be used to support desirable behaviours and actions that are aligned with the values of the business (eg. customer focus).

Individual - Individual is rewarded for exceeding expectations. Difficult to measure as other staff may be involved in this success.

Group - When a group is responsible for exceeding expectations is rewarded. This can be counter productive for people who believe their contribution is higher than others.

Performance pay - Employees pay is aligned with their level of performance. Effective in increasing employee motivation.

Discounted food and beverage, prices, group and individual performance, pay, promotions and prizes. McDonald's corporate employees may be eligible for company, cars, healthcare, services and flexible work arrangements

Global

Globalisation has increased the complexity of Human Resources Management significantly.

- International businesses compete for limited skills at the lowest cost possible to gain a competitive edge over their rivals.

Maccas prospectus for employment applicants states that "employees can access other exciting opportunities such as working internationally participating in cross functional teams with colleagues in other countries", the uniform nature of McDonald's centre of the world means that many employees skills are transferable between countries.

Type	Description	Adv	Dis
Polycentric	Uses host-country staffing with parent-country staff in corporate management at its headquarters.	Enhance market responsiveness Reduce cultural friction Utilise local expertise	Lack of uniformity Complex coordination
Geocentric	Uses the staff with the most appropriate skills for a particular role and location, and builds a pool of managers with global experience.	Builds strong culture and informal management	Complex, expensive policy due to local employment regulations, retraining, relocation
Ethnocentric	Uses parent-country staff in its business	Stronger bond between members and same group	May limit its ability to interact with customers and learn from overseas markets.

Workplace disputes

The resolution of disputes should ideally be achieved with a minimum of time and money diverted away from productivity.

Disputes can be:

Overt - Public and potentially legal action take

Covert- Conflicts that are only recognised by the workplace itself and dealt with quietly

Types of strikes

- Sympathy strikes- In support of a group of workers already on strike
- Lightning strike- Without an employer being notified
- Lockout - **Employer** closes the entrance to the workplace

Typical causes of disputes: Job security issues, wage cuts, health and safety, working conditions

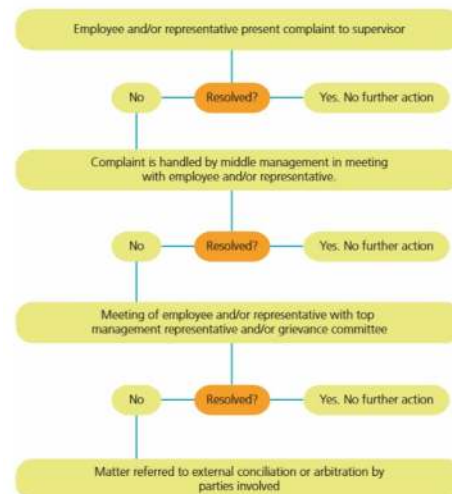
Resolution

Before either party can take legal action, there must be proof that both parties have attempted to bargain in good faith (meet regularly with a willingness to reach an agreement). Then conciliation is available through Fair Work Australia.

Grievance procedures

- Formal procedures generally written into an award or agreement that stated agreed processes to resolve disputes.

Effective procedures require a full description of the complaint to be made by the employee with the complaint. Also the person it is against should be given details of the allegations and an opportunity to provide their view.



McDonald's has clear employment grievances procedures set out in the standards of business conduct-the premise of the golden Arches booklet, which states employees can discuss issues with direct supervisors or directly contact the company and report an issue

Negotiation

- Method of resolving disputes when discussions between the parties result in a compromise and a formal or informal agreement.

Most Australian industrial disputes are resolved by resumption of work, without negotiation, such as following a stop-work meeting.

Mediation

- Mediation is the confidential discussion of issues in a non-threatening environment, in the presence of a neutral, objective third party.

It allows the parties to become empowered by resolving their own disputes, and it reduces the risk of disputes escalating and leading to expensive legal costs or industrial action.

Involvement of courts

Industrial disputes that escalate to the level of courts and tribunals are most likely to occur when disputes have passed their nominal expiry date, bargaining has commenced towards a new agreement, and negotiations have failed.

Conciliation - process where a third party is involved in helping two other parties reach an agreement.

Arbitration - process where a third party hears both sides of a dispute and makes a legally binding decision to resolve the dispute.

Types of benefit/cost	Benefits of industrial conflict	Costs of industrial conflict
Financial	Increases empowerment of all parties who 'own' an agreement. Empowerment can lead to increased productivity, fewer disputes and reduced absenteeism and labour turnover. Cost-cutting measures can lead to conflict but can ensure a firm's survival and competitiveness in the long term.	Lost production and sales adversely affect a firm's income and levels of debt, and reputation may be damaged. Some firms may close or relocate. Other businesses dependent on firms in dispute can be affected. Families can suffer significant loss of wages. Legal representation and fines imposed can be a financial burden on firms.
Personal	Conflict helps workers to gain management's attention on major issues that may have caused dissatisfaction and stress for a long time. Better work relationships may result from a clearer understanding of work problems. Greater employee involvement and motivation may result from negotiated changes and improvements in training.	Stress can be created through intensification of work and changes due to restructuring of the workplace. Rumours or threats of downsizing cause fear, insecurity and lowering of staff morale. Absenteeism, accidents and defect rates can increase. Working relationships may suffer as a result of conflict or methods used to resolve it.

Tribunals

Courts are used for resolving general civil and criminal matters, such as contract disputes, personal injury claims, and serious offences, following strict legal processes.

Tribunals are used for handling specific issues like employment disputes, immigration cases, or administrative reviews, offering quicker and less formal resolutions.

Human Resource Effectiveness **CLAWBAC**

Indicators

5% of Australia's population has at one time worked at McDonald's. They conduct surveys with managers and corporate staff.

Corporate culture

- Refers to the values, ideas, expectations and beliefs shared by members of the business

68 000 of their staff are between 14-18

Indicators that culture is poor:

High staff turnover

Poor customer service

High levels of absenteeism

Higher number of accidents

Higher level of disputes and internal conflict



Apple's culture has been shaped by a history innovation

Levels of disputation

Overt manifestations	
By employees:	By management:
• Pickets	• Lockouts
• Strikes	• Stand-downs
• Stop-work meetings	• Dismissals, retrenchments
• Work bans and boycotts	
• Work-to-rule	
Covert manifestations	
By employees:	By management:
• Absenteeism	• Discrimination
• High labour turnover rates	• Harassment
• Theft and sabotage	• Lack of cooperation
• Higher defect rates	• Exclusion from decision making
• Reduced productivity	
• Lack of cooperation	

Some overt displays;

- Work bans: refusal to work overtime, perform certain duties or work with particular individuals
- Work-to-rule: Refusal to do any more than the designated requirements of the job.
- Go slow: Deliberately working at a slower pace than usual, creating backlogs and customer complaints.
- Sabotage: Deliberate destruction of property to disrupt production.

In businesses with high levels of disputes, there is a much higher probability that other indicators will also be high.

- Disputes cause a loss of productivity and higher costs.
- Media attention can also impact a business due to conflict.

Employers should be concerned about formal grievances as they signal poor workplace relationships and can lead to significant damage if publicised or pursued legally. Investigations should determine if grievances stem from company policies or specific individuals needing training. Persistent grievances may result in high staff turnover and industrial disputes. Managerial policies are a frequent source of workplace conflicts, such as disputes over restructuring, discrimination, and outsourcing.

Foxxcon had to stop production for the second time after factory line workers protested against increased pressure

Sept 2012- A brawl broke with 2000 employees and resulted in 40 workers being hospitalised

2020- 2000 employees rioted following significant pay cuts

Absenteeism

High levels of absenteeism and/or lateness may indicate that workers are dissatisfied or that there is conflict within the workplace. In terms of lost revenue, such unofficial expressions of conflict may be even more costly to firms than official and overt forms of conflict. Therefore, revenue is lost as work is disrupted and can lead to lower productivity and higher labour costs.

You can **reduce** your absenteeism by 20 per cent by putting in a plan. If you give rewards and fun staff activities, you'll get the benefit of having them there. You won't have all these upset customers because no one follows up on their calls properly, and you won't have to constantly reschedule things.

Worker satisfaction

Employee satisfaction surveys are useful in helping employers measure and understand how their staff feel about their work, their management and the culture of an organisation.

They can be undertaken using paper surveys, online polls, focus groups or external consultants, and supplement data from performance feedback and exit interviews. Such surveys can be used to improve management style and processes, benefits and rewards systems, the physical working environment, employee relationships, and other employee needs.

Benchmarking key variables

- is a process in which indicators are used to compare business performance between internal sections of a business or between businesses. This is then used as a basis for improvement. They are then collated in a **HR audit**.

Informal benchmarking includes any strategies such as networking through informal discussions with colleagues in other businesses, undertaking visits to other businesses, researching best practice online and attending conferences.

Performance benchmarking involves comparing the performance levels of a process/activity with other businesses.

Best practice benchmarking involves comparing performance levels with those of another best

practice business in specific areas using a structured process to gain skills and knowledge, and to modify organisational processes.

Balanced scorecard benchmarking is used for measuring whether the activities of a business are meeting its objectives established in the strategic plan. It benchmarks key performance variables with targets aligned with the strategic plan.

Quantitative measures to be analysed should be able to demonstrate the actual effect of indicators in economic terms — that is, in terms of costs and profits. Variances in labour budgets, lost time, costs of injuries and sickness, absenteeism rates, and the percentage of goals reached can all provide clear indicators of HR performance.

Qualitative evaluation involves detailed feedback and research on key issues, which allows judgements to be made about changes in behaviour or quality of service provided. Major sources of such information may include feedback from middle management, surveys and focus groups about workplace culture, relationships at work, and the quality of customer service and leadership.

Recognised as employer choice award in 2018 - 2021 effective recruitment, engagement and retention

Accidents

Around 5.3 per cent of Australia's 12 million employees experience a work-related injury or illness each year. This equates to 370 claims for serious injury per day. Employees most likely to experience an injury at work are young males engaged in physical work, followed by tradespeople, labourers and transport workers.

Overall, the total cost of work-related injuries and deaths in Australia is more than **\$60 billion per year** in direct and indirect costs.

Best practice businesses:

- Build a culture of safety. They communicate effectively about health and safety using visible policy statements, safety signs and reminders
- Provide careful induction and regular ongoing training for staff to ensure they are aware of safety rules and prepared for emergencies

Using signs to reduce number of accidents

Changes in staff turnover

Staff turnover refers to the separation of employees from an employer, both voluntary and involuntary, through dismissal or retrenchment. It is often shown as a percentage of total staff numbers. Within Australia, the turnover rate averages around 12–15 percent per year, and fluctuates with the economic cycle; however, in the **hospitality industry, turnover is 90%**. A high staff turnover could be the result of push factors such as a bad boss or a poorly designed job or pull factors such as further opportunities and promotions.

Turnover is 40%

